

The Fun of Frugality

Don't be discouraged if you currently have no extra money to put away. By developing a realistic budget, setting spending and savings goals, and sticking to them, you can create money for savings.

Decide on a percentage of your income to designate as savings. Financial planners suggest 10 percent, but if 8 or 5 percent is all you can handle at this time, start with that. Don't make the mistake of thinking that if you can't save a large amount of money all at once, it's not worthwhile to try. This couldn't be further from the truth. If you saved \$25 a month at 6 percent interest, in five years you'd have \$1,744. If you saved \$100 a month at 6 percent interest, in five years you'd have \$6,977; in ten years, you'd have \$16,388.

Strategies for Pumping Up Your Savings

Set up a separate savings account. If you mingle your day-to-day funds with your savings, it's almost inevitable that you'll end up using some or all of the savings, and you may never repay them. There's also a mental component. Seeing your savings balance grow from month to month and your financial goals becoming more of a reality is highly motivating.

If you have direct deposit at work and your employer allows you to split your deposit between multiple accounts, consider having a set amount deducted from your paycheck each pay period and deposited in your savings account. It's much easier to save when the money doesn't have to take a detour to your checking account before reaching your savings account. If you don't have this option at work, write yourself a check every month before you pay your bills, or set up an automatic draft into your savings account. Most Internet bank accounts will do this for free—they'll even pull money from a different bank. After a while, as you adjust your budget and spending, you won't even miss the money you're putting into savings.
